

GS - What Matters Today: Google Beats, Hedge Fund Performance and Leverage, Short Squeeze, The Resurgence of the S&P 500 Index Inclusion Effect - 24Jul25 FICC and Equities

|

24 July 2025 | 12:05PM UTC

1) Google Beats

Futures mixed (Nasd +30bps / S&P Flat / Russell -40bps) as GOOGL's across-the-board beat & higher spending ambitions look to drive a broad swath of Tech (AI complex / Cloud providers / Ad-levered) higher today. GOOGL raised its 2025 Capex guidance by \$10bn, which should drive Semis/AI higher (AVGO +2%, AMD +1%, NVDA +1% early)... and beat on Cloud (watch AMZN, MSFT to trade firm in sympathy), Search (ad-levered META, RDDT, PINS, SNAP etc should trade well), and YouTube.

Headlines from conf call (via Bloomberg): SEARCH FEATURE AI OVERVIEWS HAS OVER 2B USERS .. OVER 70M VIDEOS MADE USING VEO 3 .. GEMINI APP HAS OVER 450M MONTHLY ACTIVE US EXPECTS TIGHT DEMAND/ SUPPLY FOR CLOUD GOING INTO 2026 ... EXPECTS FURTHER CAPEX INCREASE IN 2026 DUE TO CLOUD

Sheridan / GIR first take ([link](#)) .. “We expect the market to have a muted short-term reaction to Alphabet’s Q2’25 earnings report based upon our first read/analysis of the results. In addition, the strong recent stock outperformance into this earnings report when coupled with the lesser-known variables around a search antitrust remedy decision in the coming weeks (as a likely timetable) might act as a cap on the stock short-term. Beyond that short-term dynamic, we see a lot of reasons to maintain a constructive long-term view toward Alphabet shares (as evidenced by this set of results) - **better than expected revenue performance across all four main revenue segments** (Search & Other, YouTube Ads, Cloud and Subscriptions) highlight a broad-based exposure to the digital economy and the potential for positive impacts in the business from a shift toward AI. In addition, the incremental margins and overall rising margin trajectory in Google Cloud stands out. The company increasing its 2025 capex from up to \$75b prior to approx. \$85b stands as testament to the company’s signal on investing beyond the AI technology shift (**but likely might require some digesting from investors needing visibility into 2026/2027 margins and EPS growth**). “

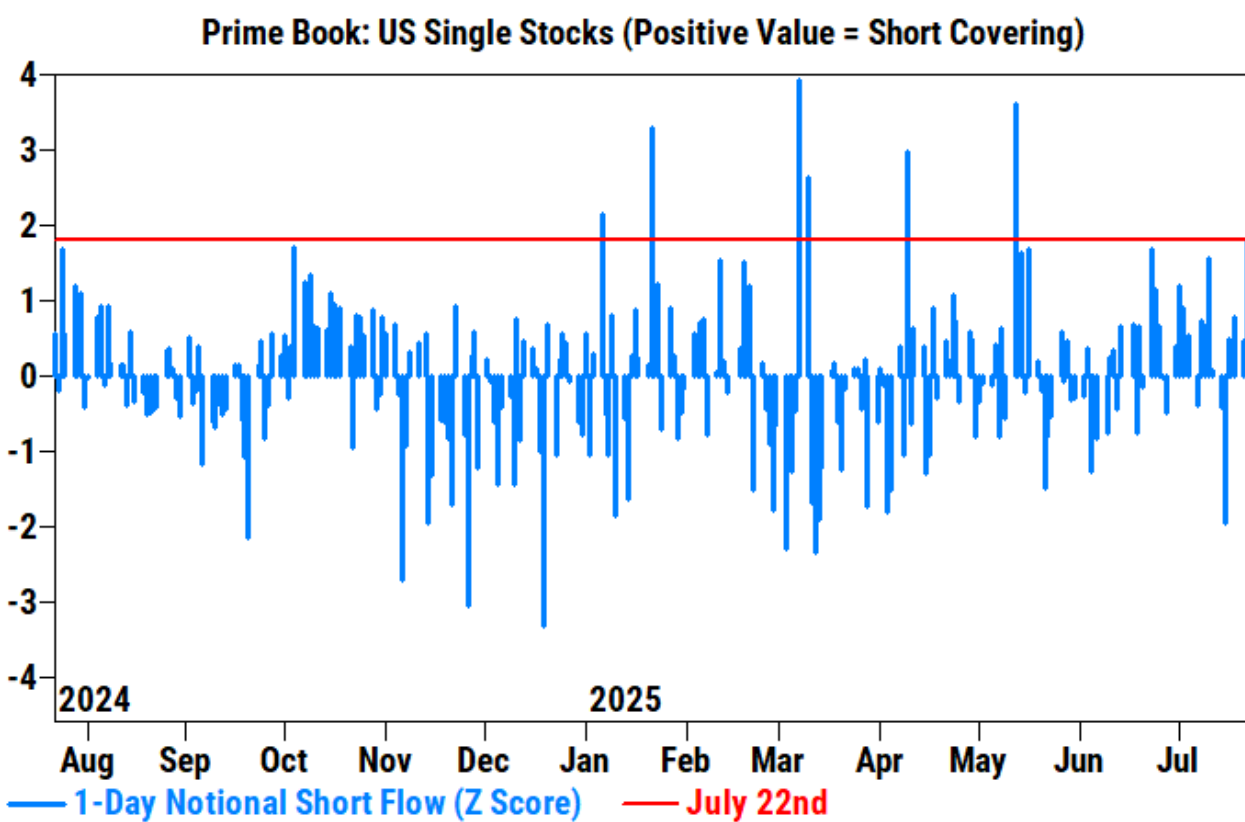
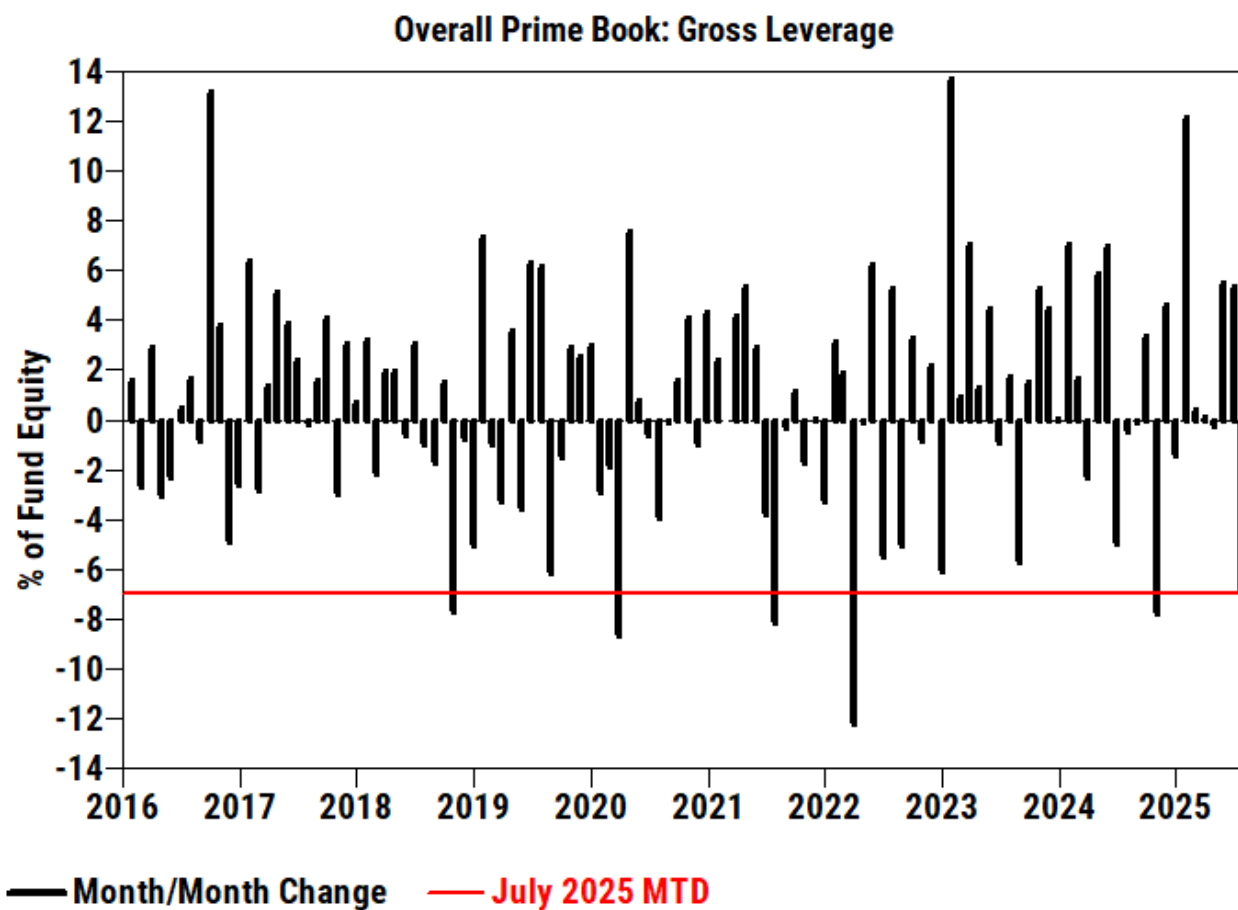
Elsewhere, IBM -5% on underwhelming Software results; NOW +7% on a beat and FY guidance raise; TSLA -6% on an EPS miss paired with a [Musk warning of a tough year ahead](#).

2) Hedge Fund Performance and Leverage

Performance: It's been mostly a quant problem, so far. Systematic L/S managers are down -2.8% in July MTD and down -4.2% since the beginning of June (still up +9.1%

YTD). On the other hand, Fundamental L/S returns are up +0.7% MTD (driven by beta gains) and now up +7% YTD.

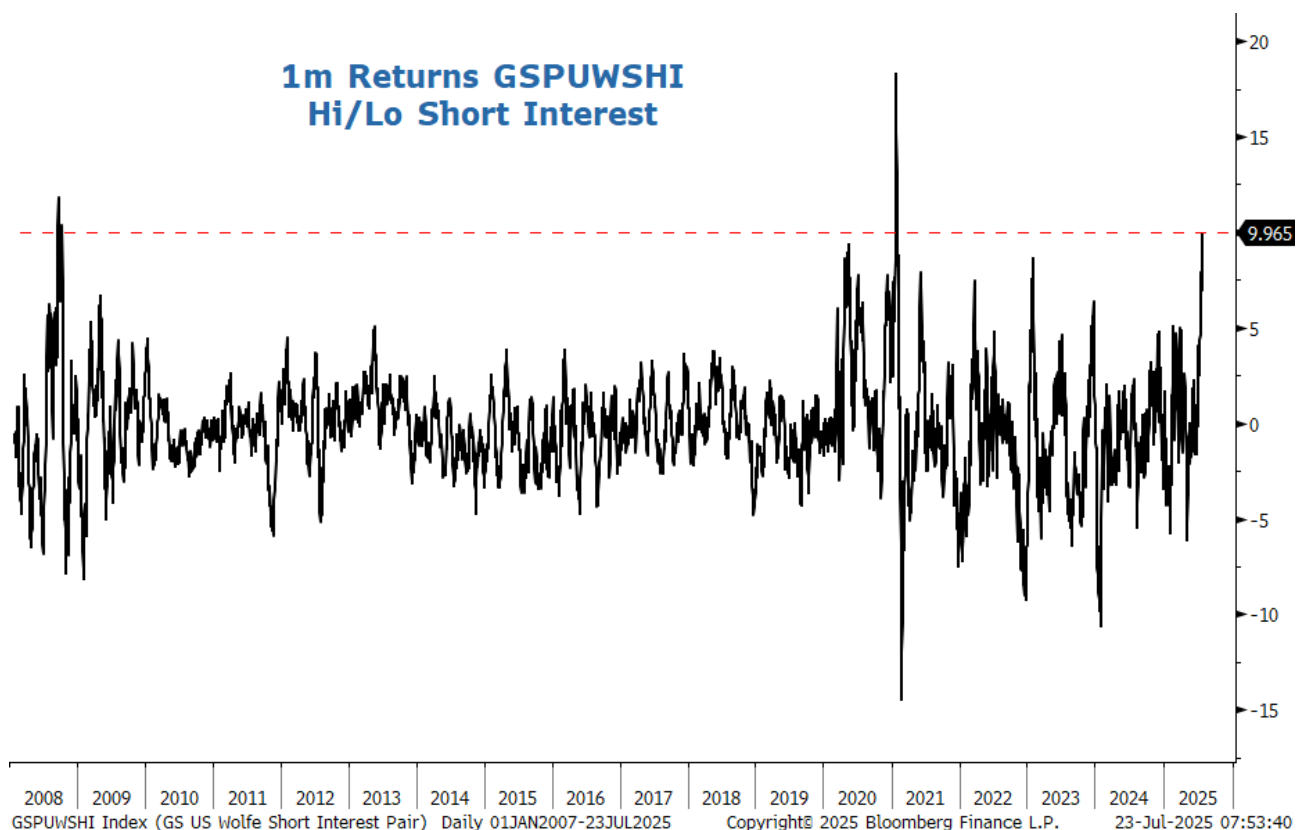
Gross Leverage: has seen a sharp decline MTD, but Fundamental L/S exposures have seen relatively little changes. Gross exposure for the full PB book (including all strategy types) has declined -7 pts so far in July, which is on track to be one of the largest monthly decreases we've observed in recent years. In contrast, Fundamental L/S Gross and Net exposures have seen relatively little changes MTD.



3) Short Squeeze

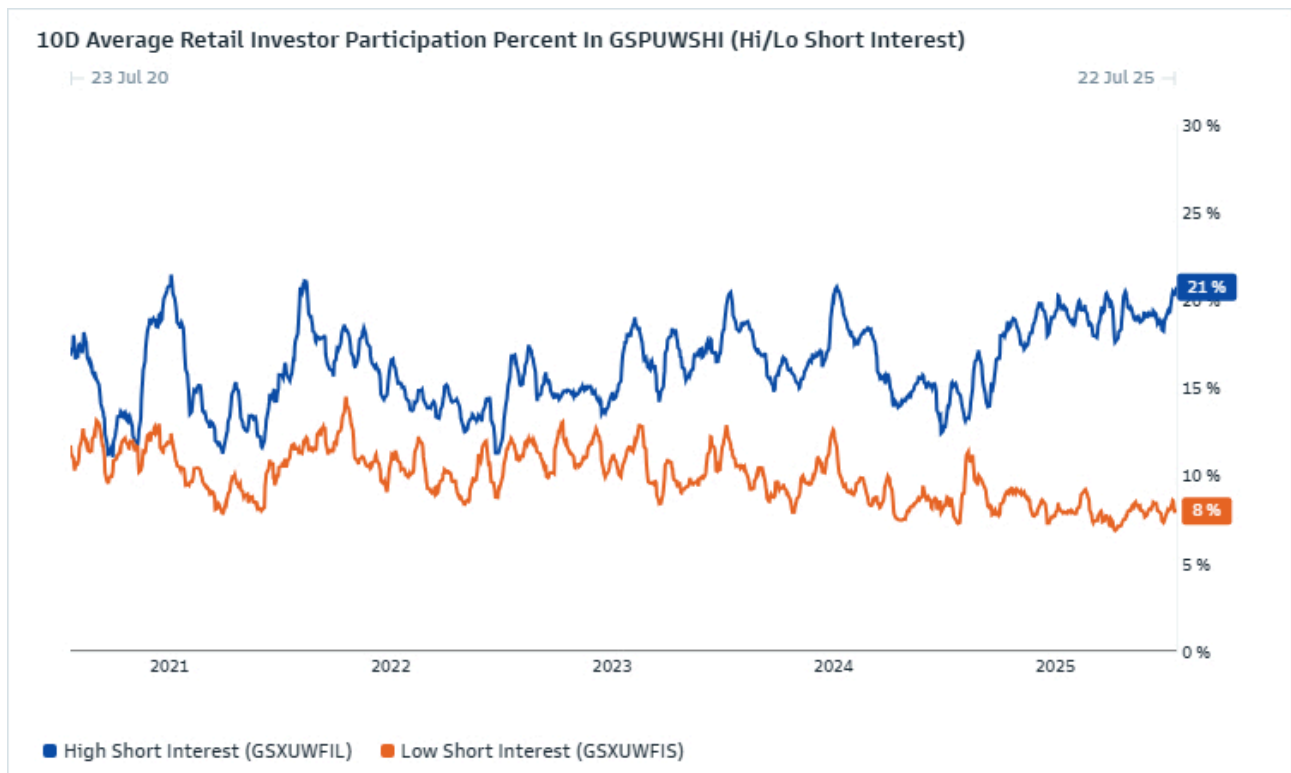
Our Short Interest Pair had its best monthly returns since the meme stock squeeze back in January 2021. Our High vs Low Short Interest Pair (GSPUWSHI Index) rallied 10% in the period (on a ~13% vol as the pair is sector, industry, & factor neutral), a move in the 99.7th percentile rally (3.8 stdv) relative to the last 17+ years, driven by animal spirit and strong retail participation. Relative to our Most Short Rolling Basket (GSXUMSAL), which is up 22% in the same period, the Short Interest Pair is less driven by beta and volatility, more diversified with a max weight of 1% at rebalance, and is highly liquid and tradable in social size (the pair excludes hard-to-borrow stocks and is liquidity optimized to trade \$500mm a side in a day at 10% of volume at rebalance).

We flagged the momentum rotation and extreme rally in high beta names and lower quality pockets of the market, and we may be moving towards later innings of the short covering given the magnitude of these moves. Historically, there has only been 2 events where our short interest pair had a higher monthly return, in October of 2008 and January of 2021, and both cases had poor subsequent returns. However, it is worth noting that the meme stock rally in 2021 caused more pain as the squeeze in our pair was even more pronounced with an 18% rally over the month and at the time, this was a newer phenomenon in the market. (TY Guillaume Soria)



Source: Goldman Sachs FICC & Equities, Bloomberg, as of July 2025. Past performance is not indicative of future results.

Retail Participation has spiked in the high short interest names:



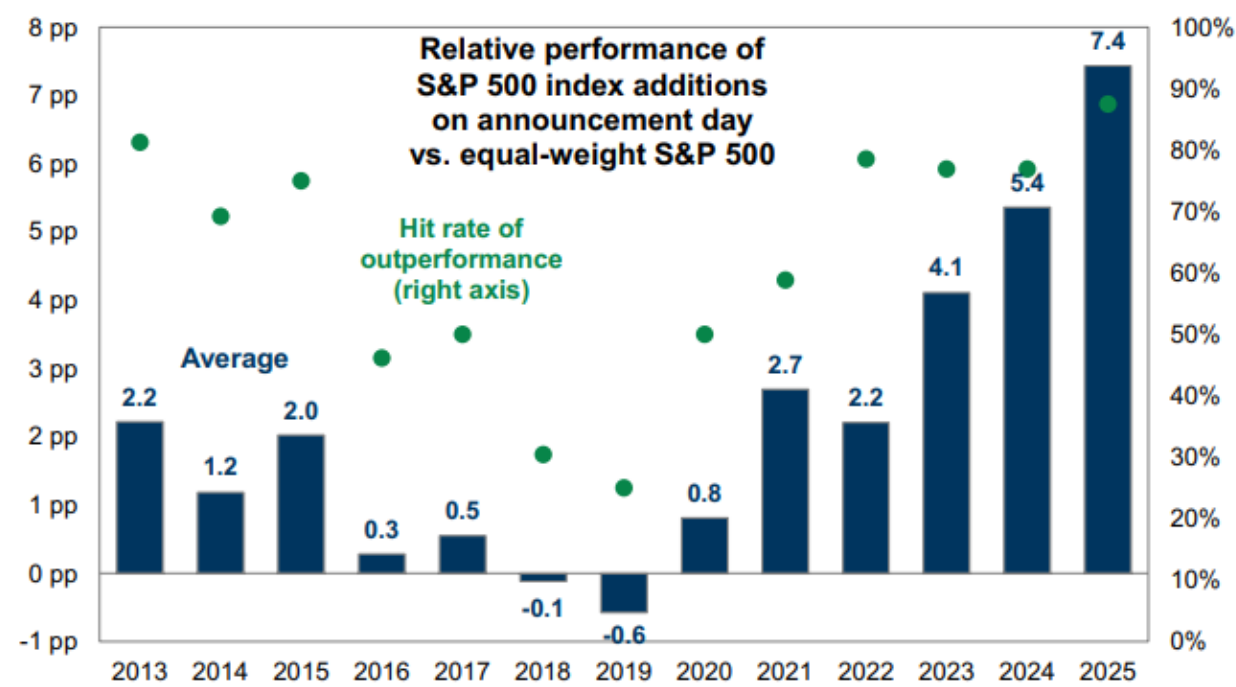
Source: MaPlotTool Pro as of 23 Jul 2025, past performance is not indicative of future returns

4) The Resurgence of the S&P 500 Index Inclusion Effect

The average stock added to the S&P 500 index has outperformed the equal-weight S&P 500 by 4 pp on announcement day since 2021. 74% of the stocks added during this period have outperformed the equal-weight index on announcement day. Prior to 2021, the S&P 500 index inclusion effect had effectively disappeared on average. Roughly 20 companies have been added to the S&P 500 each year since 2013. Exhibit 9 includes a list of 15 non-S&P 500 stocks that may be candidates for future index inclusion.

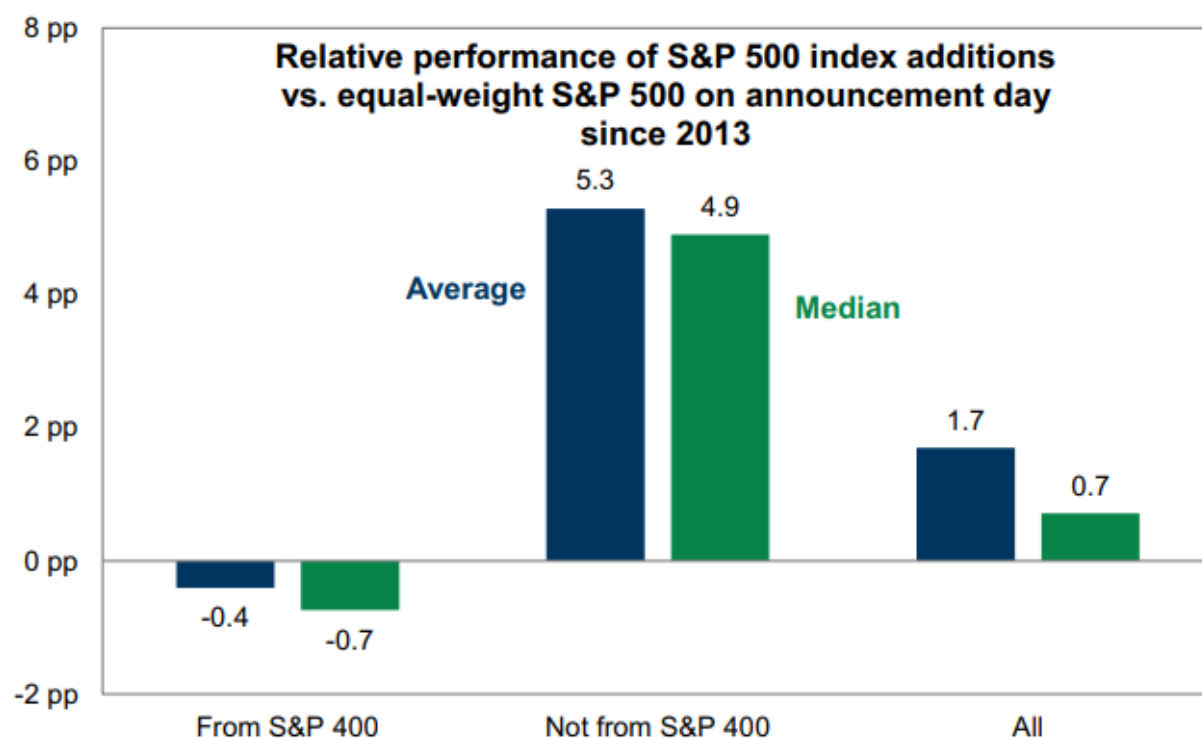
But performance of index additions depends heavily on whether the stock migrates from the S&P 400. The average relative return on announcement day equaled 5.3 pp when the stock did not migrate from the S&P 400, compared with -0.4 pp when it did. The sharpest outperformance of index additions comes ahead of the announcement. Since 2013, the average outperformance of index additions in the three months leading up to announcement is 12 pp.

Exhibit 1: S&P 500 index inclusion effect over time
sample of 219 index additions with available data, excludes spin-offs



Source: FactSet, Standard and Poor's, Goldman Sachs Global Investment Research

Exhibit 4: S&P 500 index inclusion effect varies widely based on where the stock originates
sample of 219 index additions with available data, excludes spin-offs



Source: FactSet, Standard and Poor's, Goldman Sachs Global Investment Research

Thanks,